Machine Learning Approach for Delta-Hedged Option Return Predictions

Group Project Report 2

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A group project report submitted for the partial fulfillment of
AFM423/ACTSC 423 - Topics in Financial Econometrics

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University of Waterloo
April 24, 2026

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1 Abstract

Delta-hedging is a common strategy to reduce the directional risk associated with price movements of an underlying asset. A portfolio is considered to be delta-neutral when the option's price sensitivity is offset by shorting "delta" (Δ) amount of underlying asset, and thus reduces small price movements. In practice, delta is typically estimated using an option pricing model with anticipated market's volatility. Therefore, model misspecification often results to systematic hedging errors and lead to over or under-hedging. The model uncertainty may also increase the difficulty of accurately predicting delta-hedged option rate of return. In this report, we will investigate the predictability of the delta-hedged option return using machine learning models and analyze delta's influence to forecasting.

2 Introduction

2.1 Background

As the financial market develops, option trading has become an important instrument for investors seeking to implement hedging and speculation strategies. Compared with directly investment in stocks, option trading provides greater flexibility by allowing investors to construct positions that can potentially benefit from a variety of market conditions. However, the tradeoff for this flexibility is substantial risk, as inaccurate assessment of the market movements often results in significant losses. Therefore, accurately predicting option returns can provide valuable information for portfolio construction, investment strategies and risk management.

In 1973, Black and Scholes proposed the idea of risk-neutral option pricing under the assumption of constant volatility. However, this assumption is often violated in financial markets, where volatility can vary with time at maturity, moneyness and other market factors. With the emergence of machine learning techniques, it has become possible to model complex and non-linear relationships in financial data without relying solely on traditional parametric assumptions. Since the directional impact of the underlying stock prices can be removed through hedging procedures (Tian & Wu, 2023), delta-hedged returns provide a useful framework for isolating source of return beyond the movements of underlying asset. This framework can therefore be used to investigate the nonlinear relationships and improve the prediction of the option returns. However, the effectiveness of hedging depends heavily on the accuracy of the estimated delta, and errors in delta estimation may introduce systematic errors into the hedge returns and affect its predictability.

2.2 Research Questions

This report mainly focuses on answering the following questions:

1. To what extent do non-linear machine learning models outperform linear models in predicting delta-hedged option returns?

2. How does systematic bias in delta estimation affect portfolio performance, and can these effects be generalized across models?

3 Variables and Measures

In this project, we will consider important and attainable option and stock characteristics as our predictors for forecasting. In total, there are 26 features integrated into the models.

3.1 Option-Based Characteristics

3.1.1 Basic Option-Based Characteristics

Below are common option features:

- **Type**: determines the type of options. Here we will not consider exotic options, so it is either a call or a put.
- **Strike** (K): a pre-determined fixed price at which an option holder can buy or sell the underlying asset upon exercising the contract.
- **Moneyness**: determines the relationship between strike price and the underlying asset, which relates to the intrinsic value and likelihood of profit. It is defined as

$$\text{Moneyness} = \frac{S_t}{K}$$

  where S_t is the stock price at time t.
- **Open Interest**: measures the total number of outstanding, active option contracts that have not been settled, exercised or expired at the end of the trading date.
- **Time to Maturity:** number of days remaining until maturity date.
- **Trade Volume (Options):** The total number of specific option contracts traded during a single trading day
- **Last Traded Price**: The price of the most recent transaction for an option contract was completed

3.1.2 Option Greeks and Implied Volatility

Option Greeks are financial risk metrics that measures an option's price sensitivity to underlying asset, volatility and so on. They are popular features that is used in risk management, hedging and price change estimation. We will define them below, consider an option price X:

- **Delta** (Δ): measures the sensitivity of an option's price to a $\$1$ move in the underlying asset. In other words,

$$\Delta = \frac{\partial X}{\partial S}$$

  where S is the stock price.

- **Gamma** (Γ): measures the rate of change in Delta for every $\$1$ move in the underlying asset. In other words,
$$\Gamma = \frac{\partial \Delta}{\partial S} = \frac{\partial^2 X}{\partial S^2}$$
where S is the stock price.

- **Rho** (ρ): measures the sensitivity of an option's price to a 1% change in the risk-free rate. In other words,
$$\rho = \frac{\partial X}{\partial r}$$
where r is the risk-free rate.

- **Theta** (Θ): measures the rate of change in an option's price relative to the passage of time (or equivalently "time decay"), which indicates how much value an option will lose each day. In other words,
$$\Theta = -\frac{\partial X}{\partial T}$$
where T is the time.

- **Vega** ($\mathcal{V}$): Measures the sensitivity of an option's price to a 1% change in the implied volatility of the underlying asset. In other words,
$$\mathcal{V} = \frac{\partial X}{\partial \sigma}$$
where σ is the implied volatility.

- **Implied Volatility**: A market-driven metric that provides the expected future volatility of the underlying asset, which is derived directly from option prices.

3.1.3 Bid-Ask Spread

- **Bid Price**: The highest price the buyer is willing to pay for the asset

- **Ask Price**: The lowest price a seller is willing to accept for an asset and investors buy at this price.

- **Spread**: Ask Price $-$ Bid Price

- **Bid Size**: Number of contracts buyers are willing to purchase for a specific bid price.

- **Ask Size**: Number of contracts sellers are willing to offer at the ask price.

- **Mid Price**: Average of Bid and Ask price, i.e., $(\text{Bid Price} + \text{Ask Price})/2$

- **Relative Spread**: Bid-Ask Spread as a percentage of option price, i.e., Spread$/$Mid Price

- **Depth Imbalance**: A scenario when buy (bid) orders significantly outweigh sell (ask) orders and we will measure it here as
$$\text{Depth Imbalance} = \frac{\text{Bid Price} - \text{Ask Price}}{\text{Bid Price} + \text{Ask Price}}$$

3.2 Stock-Based Characteristics

- **Open Price**: First price of a stock when new trading session begins
- **Low Price**: Today's lowest price for a stock
- **High Price**: Today's highest price for a stock
- **Close Price**: The price of the stock at the end of the trading day
- **Adjusted Close**: The modified stock's closing price to actions like dividends, stock splits and so on
- **Trade Volume (Stocks)**: The total number of shares traded during a single trading day

3.3 Performance Metrics

We will use the following as performance metrics:

- Delta-Hedged Option Rate of Return inspired by Bakshi and Kapadia (2003) in Bali et al (2023)'s article

$$r_{t,t+\tau} = \frac{\Pi(t, t+\tau)}{|\Delta_t S_t - V_t|}$$

  where $\Pi(t, t+\tau)$ is defined as follows

$$\Pi(t, t+\tau) = V_{t+\tau} - V_t - \sum_{n=0}^{N-1} \Delta_{V,t_n} \times [S(t_{n+1}) - S(t_n)] - \sum_{n=0}^{N-1} \frac{a_n r_n}{365} [V(t_n) - \Delta_{V,t_n} S(t_n)]$$

  where V_t denotes the price of the option at time t; $S(t)$ denotes the price of the underlying asset at time t; r_n is the risk-free rate at t_n; a_n is the number of calendar days between rehedging dates t_n and t_{n+1}; and Δ_{V,t_n} is the observed delta of the option at time t_n.

- Annualized Sharpe Ratio

$$\text{Sharpe Ratio} = \frac{R_p - R_f}{\sigma_p}$$

  where R_p is the portfolio return; R_f is the risk-free rate and σ_p is standard deviation of the portfolio.

4 The Application of the ML approach to Factor Investment

For most of predictions in factor investment, traditional linear regression models are forbidden due to the presence of non-stationarity in the data and the relationship between factors are rarely linear. Similarly, studies have revealed that linear regression models perform poorly for option return predictions, thus, in this report, we use machine learning techniques to overcome the challenges with linear regression.

4.1 LASSO

Consider the linear regression model, but subject to penalization of model complexity

$$y_t = \beta_0 + \beta_1 x_{1t} + \cdots + \beta_p x_{pt} + \epsilon_t, \quad t = 1, \ldots, T \text{ subject to } \sum_{j=1}^{p} |\beta_j| < \delta$$

where δ is the threshold. Then, the **Least Absolute Selection and Shrinkage Operator (LASSO)** estimate of a linear model is defined as

$$(\hat{\beta}_0, \hat{\boldsymbol{\beta}}_{\text{LASSO}}) := \arg\min_{\beta_0, \boldsymbol{\beta}} \left\{ \sum_{t=1}^{T} \left(y_t - \beta_0 - \sum_{i=1}^{p} x_{it}\beta_i \right)^2 + \lambda \sum_{j=1}^{p} |\beta_j| \right\}$$

where $\lambda > 0$ is a tuning parameter which determines the bias-variance trade-off and the Pen function is ℓ_1 norm (absolute euclidean length of the parameters).

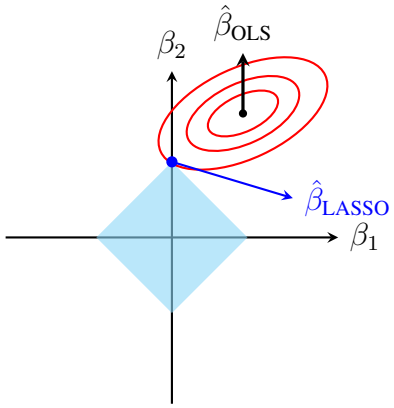


Figure 1: LASSO Optimization

As shown in Figure 1, due to the optimization constraint and the design of penalization, LASSO performs variable selection and shrinks redundant or less impactful coefficients to 0. The tuning parameter λ often determines the severity of penalization, the optimal value is obtained from cross validation.

4.2 Ridge

Consider the linear regression model, but subject to penalization of model complexity

$$y_t = \beta_0 + \beta_1 x_{1t} + \cdots + \beta_p x_{pt} + \epsilon_t, \quad t = 1, \ldots, T \text{ subject to } \sum_{j=1}^{p} \beta_j^2 < \delta$$

where δ is the threshold. Then, the **Ridge regression estimate** of a linear model is defined as

$$\hat{\boldsymbol{\beta}}^{\text{Ridge}} := \arg\min_{\boldsymbol{\beta}} \left\{ \sum_{t=1}^{T} \left(y_t - \beta_0 - \sum_{i=1}^{p} x_{it}\beta_i \right)^2 + \lambda \sum_{j=1}^{p} \beta_j^2 \right\}$$

where $\lambda > 0$ is a tuning parameter which determines the bias-variance trade-off and Pen function is ℓ_2 norm (squared euclidean length of the parameters). Moreover, it has a closed form solution in matrix form

$$\hat{\boldsymbol{\beta}}_{\text{Ridge}} = (\boldsymbol{X}^T\boldsymbol{X} + \lambda I_p)^{-1}\boldsymbol{X}^T(\boldsymbol{y} - \hat{\beta}_0\mathbf{1}), \quad \hat{\beta}_0 = \bar{y} - \frac{1}{n}\sum_{i=1}^{n}\sum_{j=1}^{p}\hat{\beta}_j x_{ij} = \bar{y} - \hat{\boldsymbol{\beta}}_{\text{Ridge}}^T\bar{\boldsymbol{x}}$$

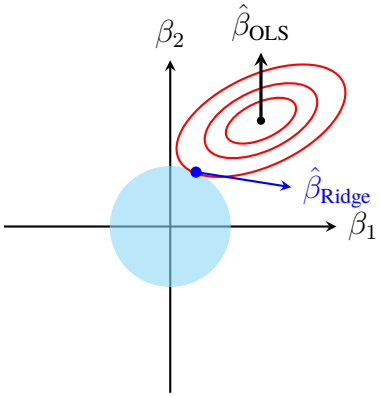


Figure 2: Ridge Optimization

As shown in Figure 2, due to the optimization constraint and the design of penalization, Ridge does not perform variable selection directly like LASSO. The model shrinks some redundant or less impactful coefficients close to 0. The tuning parameter λ often determines the severity of penalization, the optimal value is obtained from cross validation.

4.3 Random Forest

A popular method in machine learning is the use of classification or decision trees. The algorithm is to split the large dataset into smaller and homogeneous groups based on their characteristics. The split aims to explain the variation in the response variable. Usually, the best split is determined to minimize a certain metric (such as Gini, Entropy and etc) that researchers choose. However, there are significant drawbacks to this approach, as single decision tree is prone to overfitting and the prediction changes drastically as the dataset changes. Moreover, there are also concerns with mis-classification, biases and inefficiencies when the number of predictors increases.

To solve the issue, we consider one approach in ensemble learning, which is known as **bagging** (**B**ootstrap **Agg**regat**ing**). This is a classic algorithm, where multiple learning algorithms with different predictors are trained together, and the predictors are selected using bootstrap - a resampling method without replacement.

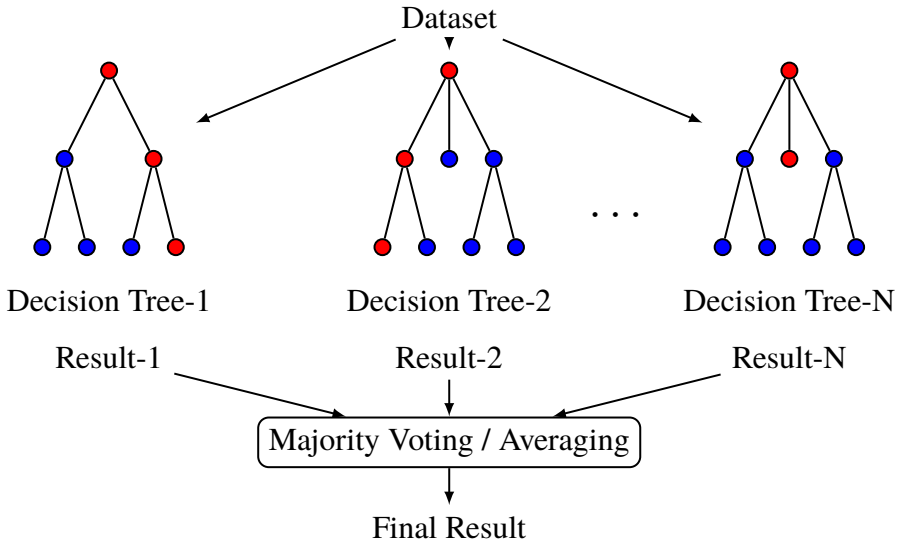


Figure 3: Illustration of Random Forest (Bagging)

As shown in Figure 3, each decision tree is built from random subset of the total predictors, and the resulting predictions for each tree are then aggregated using averaging or majority voting. The purpose of random selecting predictor ensures the diversity of the trees and largely reduce the risks of over-fitting, moreover, the averaging or majority voting reduces the variance and ensures the robustness of the model.

In general, we tune the number of individual trees we want to have in the forest through cross validation, and typically more trees provide accurate predictions until a certain number. Other factors such as the depth/complexity of the tree, number of features to retain for a single tree and the subsamples sizes to learn could all be tuned based on validation.

4.4 Extreme Gradient Boosting (XGBoost)

Another ensemble learning algorithm to consider is **boosting**. As opposed to random forest (bagging) where multiple learning algorithms are trained in parallel, this algorithm trains sequentially. In each steps of training, it creates new algorithm to make correction on errors of the previous trees. The final predictions are determined by the weighted combination of all learning algorithms, placing more emphasis by assigning larger weights on better performed algorithm.

A boosted tree can be expressed as

$$\tilde{y}_i = m_J(x_i) = \sum_{j=1}^{J} T_j(x_i)$$

which represents the final prediction for i^{th} data point, where it is simply a sum of the predictions from all J trees in the model, where

$$m_J(x_i) = \underbrace{m_{J-1}(x_i)}_{\text{Old Trees}} + \underbrace{T_J(x_i)}_{\text{New Tree}}$$

and the new tree (T_j) is selected based on fitting the residuals of the previous model (m_{J-1}). This process continues iteratively until the model's residual is minimized.

The Extreme Gradient Boosting (XGBoost) algorithm uses boosting tree algorithm as foundation and minimizes the objective function O defined as follows

$$O = \underbrace{\sum_{i=1}^{n}(y_i - \tilde{y}_i)^2}_{\text{Loss Function}} + \underbrace{\sum_{j=1}^{J}\Omega(T_j)}_{\text{Penalty}}$$

where the loss function is typically the squared error loss and the penalty is present to prevent building complex models. In other words, XGBoost aims to find prediction that balances both minimizations on the error and the complexity, which are typically trade-offs in predictive modelling.

The penalization function is typically in the form

$$\Omega(T) = \gamma L + \frac{\lambda}{2}\sum_{i=1}^{L} w_i^2$$

where we penalize the number of leaves through γL and magnitude of output values through $\frac{\lambda}{2}\sum_{i=1}^{L} w_i^2$ (w_i are specific prediction score to the ith leaf node). These tuning parameters λ and γ, are typically obtained using validation.

4.5 Neural Network

In finance, data are typically noisy or non-stationary, and this phenomenon complicates the process of separating the "signals" from the "noise" in the data. Therefore, neural network is often deployed to potentially isolate the "signals" to make accurate predictions.

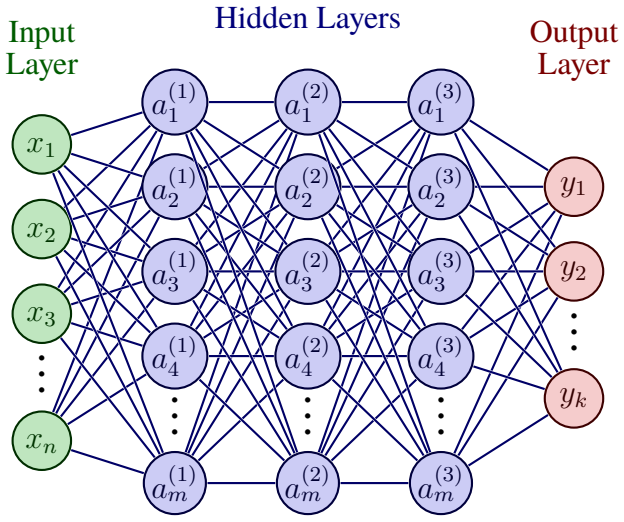


Figure 4: Multilayer Perceptron Architecture

The building block of neural network is the use of **perceptrons** - similar to a linear model to which is applied to a particular function, which is known as **activation functions**. The purpose of these functions is to introduce non-linearity to the linear models. As depicted in Figure 4, it is similar to the analogy of random forest, the input layer nodes (i.e., neurons) are fed to the perceptrons in the hidden layer (blue circles), where neural network combines them and each respective output is activated by the selected activation functions to produce the results. Hence, this model is also called **Multilayer Perceptron (MLP)** or **Feed Forward Neural Network (FNN)**.

As mentioned earlier, activation function is crucial in multilayer perceptron, as it directly introduces non-linearity to the model. Common activation functions used are Tanh, ReLu, Softmax and etc. In general, the choice of activation function depends on the type of predictions, for example, ReLu is a popular choice for modelling option strategies, as the form is similar to an option payoff.

Since the objective for neural network is minimizing the sum of least squares between the model and actual response variables, we have to be aware of the architecture where having too many layers may increase the risk of overfitting. Thus, it is possible to pose constraints and penalizations to reduce overfitting, consider the following objective function

$$O = \sum_{j=1}^{I} \text{loss}(y_i, \tilde{y}_i) + \sum_{k} \lambda k \|\boldsymbol{W}_k\|_1 + \sum_{j} \|\boldsymbol{W}_j\|_2^2$$

where subscripts k and j represents the weights to which the L_1 and (or) L_2 penalization is applied. This function aims to directly limits the weights during the training. Another strategy is **dropout**, where the number of parameters of the model is reduced.

5 Related Work

GPR 2 is an extension and application of the ideas proposed in GPR 1 with subtle modifications. All diagrams and explanations from Section 4 are inspired from the course materials presented in AFM/ACTSC 423 (Topics in Financial Econometrics) and STAT 443 (Forecasting).

6 Experimental Methodology

The dataset is collected from a researcher in Macroeconomics and Quantitative Finance - Philipp Dubach via GitHub (https://github.com/philippdubach/options-data), which holds a valid MIT license that permits distribution, modifications and so on. The dataset contains historical options data for 104 major US equities and ETFs, spanning from 2008 to 2025 with over 20 millions observations. For computational efficiency, we select the most recent data which is from 2024 to 2025. The data will be split into training data, testing data (for validation) and out of sample data:

- Training data spans from Jan 1st, 2024 to July 31st, 2024
- Testing data spans from Aug 1st, 2024 to Sep 30th, 2024
- Out of Sample data spans from Oct 1st, 2024 to Oct 31st, 2024

6.1 Data Preprocessing

Out of 104 major US equities, we select 10 for research purposes. These equities include Apple, Tesla, JPM, Amazon, NVIDIA, Microsoft and so on. Then we apply filtration as entailed in GPR 1 to the data:

- Exclude options with no implied volatility and greeks
- Exclude options with zero volume over the last 7 calendar days
- Remove options with bid price of 0

A verification on the bound of the option prices is also included to ensure the bound of American options are not violated. We remove any contracts from the data that violates this bound. After preliminary cleaning, the delta-hedged option rate of return is calculated using the formula in section 3.3, where realized delta, stock price and option price are obtained from the dataset. This return measures any excess return per day after accounting for hedge adjustments and financing costs. Note that delta-hedging is applied each trading day and for simplicity, we will not factor in transaction costs.

To prevent potential data leakage and look-ahead bias, we mimic the real trading scenarios and roll the relevant predictors by one day, in other words, for each trading day, the information of these predictors are from yesterday. These predictors are selected based on whether we think the traders know these information at the beginning of the trading day. For example, an option's last traded price is typically known at the end of the trading day, so we definitely roll them to prevent leakage. Since the researcher did not explicitly mention the model they used to calculate option greeks, we choose to be conservative and also roll these variables by a day to limit look-ahead bias. Other variables such as time to maturity, moneyness and so on are evaluated to be available for model training.

Then, we check the distribution of the predictors to determine the skewness and scale. Normalization is used on the training data and applied to the testing and out of sample data to prevent any leakage. To handle the outliers in response variable (i.e., the return), we realized that the return can simply explode if the denominator is too small. Since there is no actual economic meanings for huge returns, we choose to apply winsorization on the response to set a cap for the maximum and lowest return without deleting

the outliers. This procedure is done carefully by selecting the 1% quantile in the training data as lower bound and the 99.9% quantile in the training data as upper bound. If any observations in the training data has return over (below) the upper (lower) bound, it will be capped off. These bounds are then applied to testing and out of sample data to prevent leakage.

6.2 Model Fitting

After processing, we train the machine learning model Ridge, Lasso, Random Forest, XGBoost and Neural network using the training data. The tuning parameters are chosen via validation with some chosen arbitrarily based on the features. Then, measures such as mean squared error (MSE) and hit ratio are calculated based on the model's performance in testing data. Below are `R` packages we used for each model:

- Ridge: `glmnet`
- Lasso: `glmnet`
- Random Forest: `randomForest`
- XGBoost: `xgboost`
- Neural Network: `keras` and `tensorflow`

Note for better operations of Keras and Tensorflow, it is recommended to install Python 3.10, as newer versions have conflicts with the use of these packages.

6.3 Portfolio Construction

For evaluating portfolio performance, we use the out-of-sample data and group all the contracts each day into deciles and construct three types of portfolios:

1. Long-Short Portfolio: Long decile 10 (highest predicted returns) and short decile 1 (lowest predicted returns)
2. Long-Only Portfolio: Long decile 10 (highest predicted returns)
3. Short-Only Portfolio: Short decile 1 (lowest predicted returns)

We record the return for each day and compare between each models. Note that the rankings are determined by the predicted returns of each machine learning models. A lag of one day is introduced in the predicted return to prevent look ahead bias and mimic real trading. For computational simplicity, transaction costs for each portfolios are excluded and equal weighting is applied within each deciles. We are also aware that there are 252 trading days in a year, thus when calculating Sharpe ratio, the scale of 252 days is used rather than 365 days.

All diagrams are generated either using `R`'s embedded plot functions or `ggplot2`. For additional analysis, we also used `PerformanceAnalytics` to calculate measures such as max drawdown and so on.

7 Results and Discussion

This section will be divided into couple subsections that describes each model's predictive performance on the training, testing and out-of-sample data, profitability of constructed portfolio based on predictions and the analysis on the market to explain the profits.

7.1 Model Description and Performance

For some machine learning algorithms, particularly tree-based models, can fit complex patterns in the training data quickly and consequentially increases the risk of overfitting. To mitigate the risk, we have indicated learning rate and penalization terms in our model to constrain complexity and improve generalization to unseen data.

Model	**Description**
Ridge	Tuning parameter λ selected via cross-validation.
Lasso	Tuning parameter λ selected via cross-validation.
Random Forest	Sample size = 30,000; Node size = 250; Number of trees = 40; Number of predictors per split = 5.
XGBoost	Learning rate (η) = 0.3; Objective = squared error loss; Maximum depth = 4; λ (L2 regularization) = 1; γ (minimum loss reduction) = 0.1; Number of trees = 30.
Neural Network	Layer 1: ReLU, 16 units, input dimension = 26, L2 = 0.001; Dropout = 0.2; Layer 2: ReLU, 8 units, L2 = 0.001; Dropout = 0.2; Output layer: 1 unit.

Table 1: Model specifications and hyperparameters

Note that some tuning parameters (e.g., learning rate, depth and etc) are arbitrarily chosen based on our constraint and desired model complexity, however, most are decided based on the model's predictive performance on the testing data and cross validation methods.

	Ridge	Lasso	RF	XGBoost	NN
MSE	0.0005269105	**0.0005252877**	0.0005310217	0.0005357839	0.0005292006
Hit Ratio	0.5138297	0.5193873	0.4982097	**0.5278039**	0.4522442

Table 2: Model Performance on Test Data

As shown in Table 2, most of the models exhibit similar mean squared error. Notably, the machine learning models have, on average, slightly higher mean squared error than the linear models, such as Ridge and Lasso. This outcome can be explained by the bias-variance tradeoff. Given the noisy structure of option data, models such as Lasso and Ridge ignore these noises by putting lower weights

in the features (as depicted in Figure 5), which results in lower variance but introduces additional bias. On the other hand, machine learning models utilize these features and study the signals from the noises, which inevitably increases the variance in general, hence yielding a relatively higher MSE.

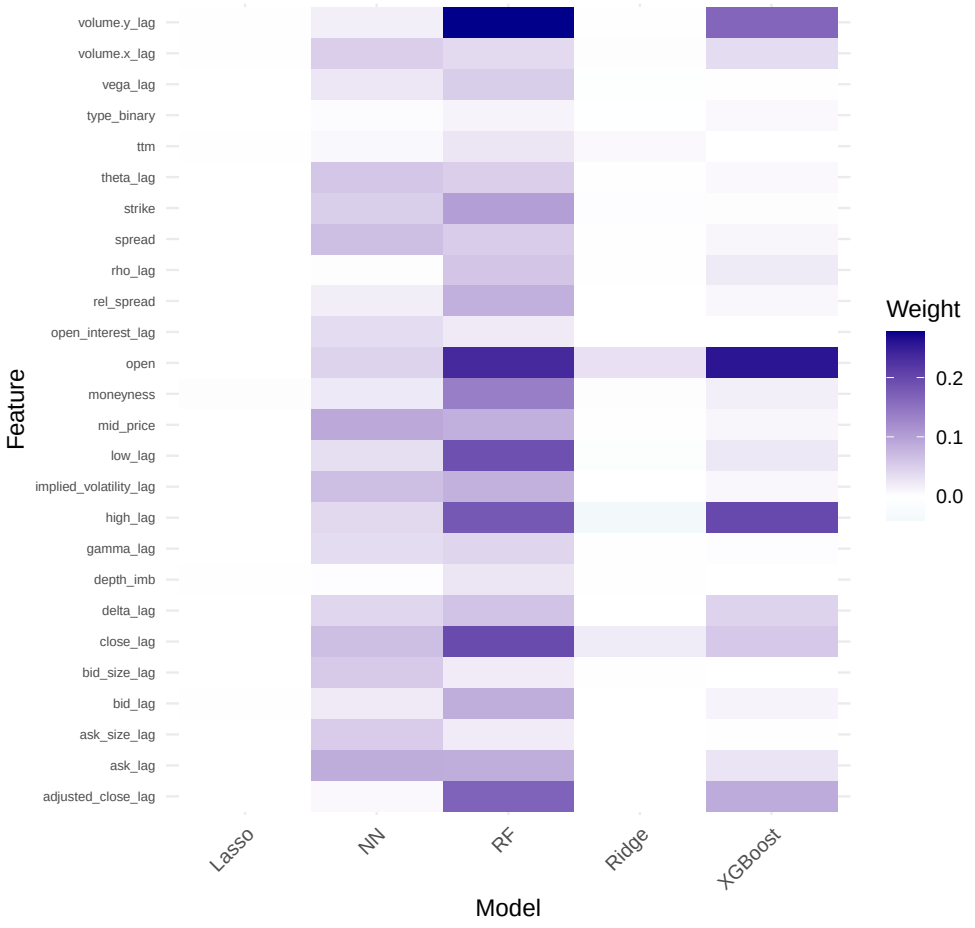


Figure 5: The weights on each features for all models (Out of Sample)

In out of sample predictions, the coefficients estimated by Lasso and Ridge are extremely close to zero, indicating that their prediction is predominantly based on the intercept/bias term. In contrast, tree-based model places greater importance on stock-related characteristics such as the trading volume, open price and the highest price. Despite this difference, all machine learning models have assigned weights on option-related characteristics, with the bid-ask spread being particularly prominent. This finding is consistent with existing literatures, since bid-ask spread is closely related to the liquidity of the option prices. Wider spread indicates low liquidity, high volatility and a high likelihood of pricing error, whereas a narrower spread indicates high liquidity and efficient pricing. Therefore, the importance of the bid-ask spread reflects its ability to capture information relevant to delta-hedged option return and volatility risk premium. Furthermore, most of our machine learning model also consider the weights on option greeks, which provides information about model risk and hedge errors.

Another interesting discovery is that machine learning models generally exhibit lower hit ratios than linear-based models on average. One possible explanation is that linear-based models are relatively conservative and impose regularization by shrinking all the coefficients close to zero, reducing their

sensitivity to noises. In contrast, the flexibility of the machine learning models allow them to capture more complex patterns, but also make their predictions sensitive to noise. This increased sensitivity may contribute to the directional accuracy, as reflected by hit ratios.

Although hit ratios and mean squared error provide useful predictive performance, they have limitations when evaluating economic value of predictions. Hit ratios measures only the direction of the predicted return and ignores the magnitude, while MSE can be influenced by observations with large prediction errors. These metrics therefore provide limited information on model's portfolio constructions. In the next section, to we will examine the ranking power of these models, which is more directly relevant to portfolio decisions.

7.2 Portfolio Performance

For portfolio construction, as we mentioned in section 6, three types of portfolios are constructed - long-short, long only and short only to examine the ranking power of all the models. Note that long-short portfolio is a more realistic trading strategy, whereas long only and short only are selected only to observe the model's selection on both ends.

7.2.1 Long-Short Portfolios

	Ridge	Lasso	RF	XGBoost	NN
Portfolio Mean	-1.483e-04	-7.305e-05	2.725e-05	3.013e-04	**8.247e-04**
Sharpe Ratio	-2.085106	-2.693519	-0.682621	0.864267	**1.421018**
Max Drawdown	-1.0053 %	-0.5921202 %	-1.807707 %	**-0.4757644 %**	-2.381102 %

Table 3: Long-Short Portfolio Performance for October 1, 2024 to November 1, 2024

From Table 3, the regularized linear models perform worse on average than nonlinear models. The negative returns suggest that both Lasso and Ridge fail to rank the contracts with relatively high and low future returns. As a result, the portfolio return is significantly lower than the risk-free rate and leads to a negative Sharpe ratio.

On the other hand, machine learning models such as XGBoost and Neural network generate positive portfolio returns on average and achieve higher Sharpe ratio. This result suggests that nonlinear models may be capturing useful economic signals from the data that are not captured by linear models. Although the Neural Network achieves the largest mean and sharpe ratio, it also exhibits the largest maximum drawdown, which suggests greater downside risk and less stable portfolio performance. In contrast, XGBoost produces more consistent portfolio returns within the month and have the lowest max drawdowns, which makes it favourable in the risk management perspective.

From Figure 6, we observe that most non linear models perform better than linear models on a daily basis. For Neural Network, the portfolio exhibits particularly high variations, with some days generating extremely large positive or negative returns, which is consistent with Table 3. Overall, these results suggest Neural network may offer the greatest return potential at the exchange for downside risk, whereas XGBoost provides consistent performance with lower potential for enormous return.

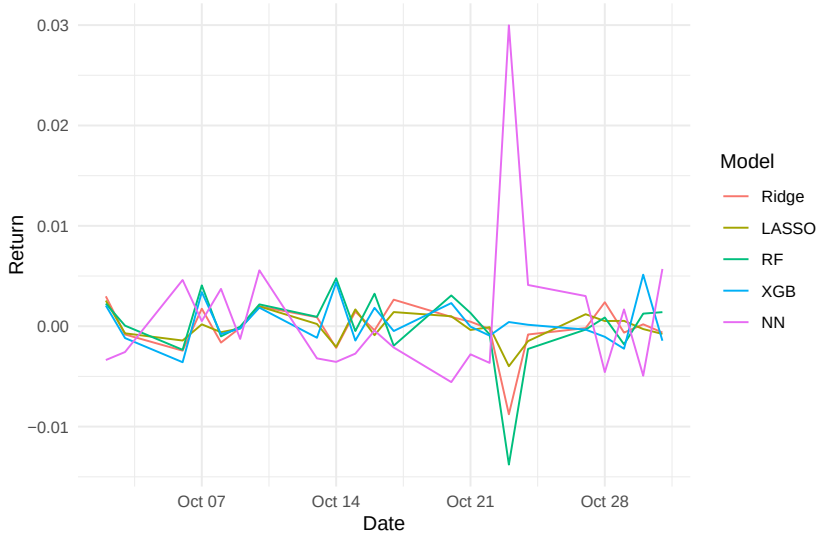


Figure 6: Daily performances of each model (Long Short)

7.2.2 Long-Only Portfolios

	Ridge	Lasso	RF	XGBoost	NN
Portfolio Mean	-4.560e-04	-4.041e-04	-1.579e-04	-1.949e-04	**-5.085e-05**
Sharpe Ratio	-2.3336402	-2.0040015	-1.2419322	-1.2853664	**-0.4987878**
Max Drawdown	-1.597888 %	-1.679594 %	**-0.9725774 %**	-1.210067 %	-3.029782 %

Table 4: Long-Only Portfolio Performance for October 1, 2024 to November 1, 2024

Similar to long-short portfolio case, the nonlinear machine learning models exhibit stronger ranking performance than the linear models on average. Interestingly, however, all models generate negative returns in their portfolios, suggesting that they have limited ability to correctly identify the contracts with relatively high future returns. In other words, the contracts identified as attractive by the models did not generate positive returns as predicted.

As shown in Table 4, the Neural Network achieves the highest return compared to other models. However, its maximum drawdown again indicates greater downside risk and inconsistent performance. On the other hand, the tree-based algorithms, such as Random Forest and XGBoost, provide relatively stable portfolio performance, despite having lower returns than Neural Network. Finally, Lasso and Ridge exhibit the weakest portfolio with relatively large fluctuations in returns compared with other models.

In Figure 7, we observe similar pattern, with the non-linear models generally outperforming linear models on most days. Notably, Neural Network has a substantial spike in portfolio returns on one day, similar to the long-short portfolio case, where it significantly outperforms all other models. However, the Neural Network also exhibits greater variation in the daily returns, whereas, the tree-based models produce comparatively more consistent. This again aligns with our trade-off between return potential and portfolio stability encountered in **section 7.2.1**.

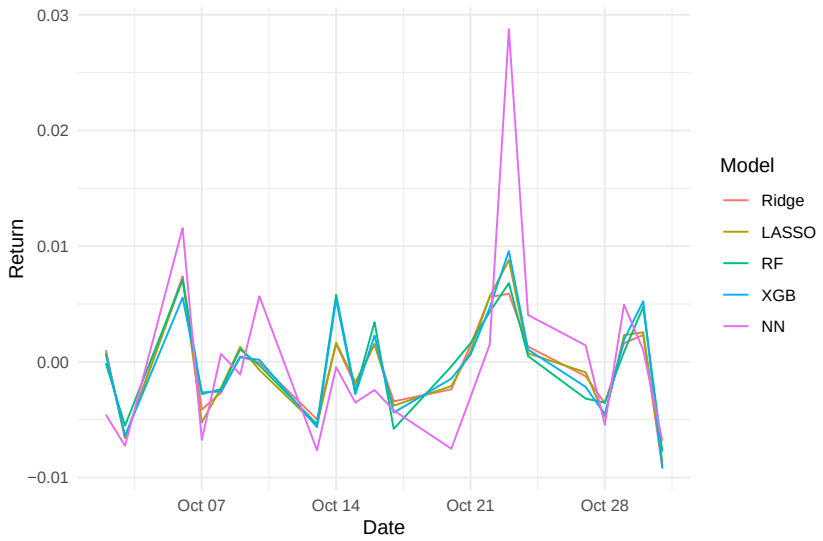


Figure 7: Daily performances of each model (Long Only)

7.2.3 Short-Only Portfolios

	Ridge	Lasso	RF	XGBoost	NN
Portfolio Mean	0.0003076	0.0003310	0.0001851	0.0004963	**0.0008755**
Sharpe Ratio	0.31658514	0.42505752	-0.04170507	1.13241186	**2.73623713**
Max Drawdown	-2.35283 %	-2.185223 %	-2.859081 %	-1.626596 %	**-1.062198 %**

Table 5: Short-Only Portfolio Performance for October 1, 2024 to November 1, 2024

In contrast to the long-only portfolios, all models generate positive returns for the short-only settings, suggesting that their predictions contain useful information for identifying contracts with poor subsequent performance. Moreover, the Neural Network achieves the highest average return, while maintaining a portfolio with high Sharpe Ratio and low max drawdowns, indicating a favourable balance between return and downside risk. On the other hand, as shown in Table 5, the linear-based models underperform the non-linear models on average, with Random Forest being the notable exception.

Figure 8 reveals a similar pattern, with the non-linear models generally outperforming the linear models on most days. Notably, the Neural Network appears to rank poorly performing contracts more effectively across a wide range of market conditions, including some periods when other models perform badly. In contrast, although Random Forest deliver above-average performances most of the time, but it experiences substantially weaker performance in extreme cases. This suggests that its portfolio returns may be more sensitive to adverse outcomes, resulting in less consistent performance than the other models.

Taken together, these results suggest that the predictive information captured by the models may be useful for constructing short-only portfolios than long-only portfolios. However, whether this difference reflects a systematic asymmetry in return prediction would require further investigation. This will be discussed in the next subsection.

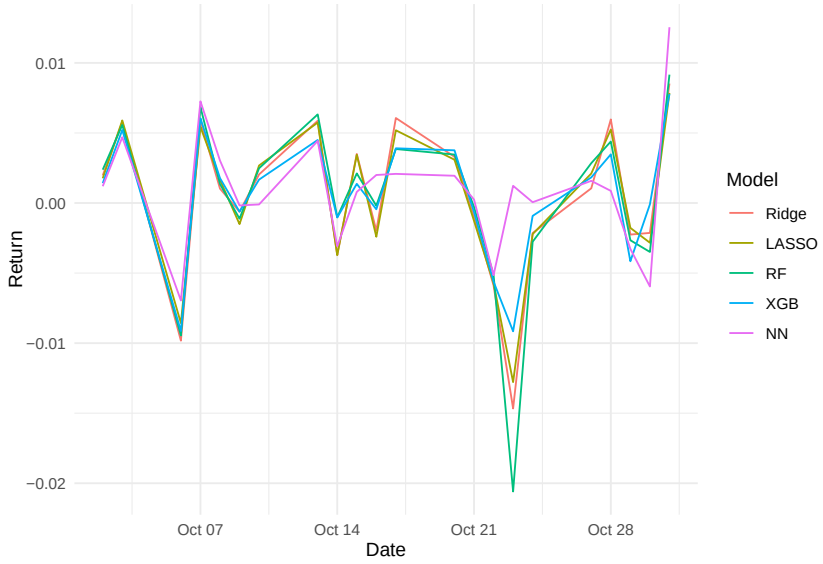


Figure 8: Daily performances of each model (Short Only)

7.3 Remarks and Analysis

In this subsection, we summarize the performance of all models, examine their ability of extracting predictive signals from noisy data, and discuss potential factors that may explain the observed results.

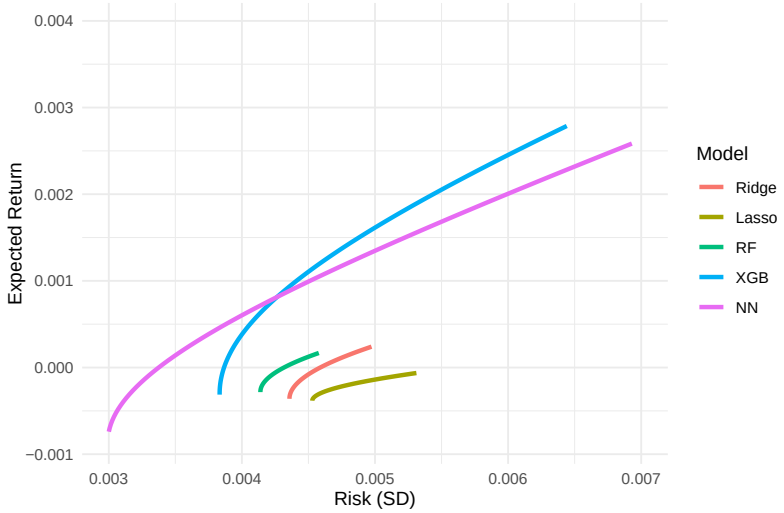


Figure 9: Efficiency Frontier for all Models (Long Short Portfolio)

As shown in Figure 9, the efficiency frontiers of non-linear machine learning generally lie above and to the left of those of the linear-based models, suggesting that they achieve more favourable risk-return trade-offs in our sample. In particular, XGBoost and the Neural Network tend to provide larger expected returns as the portfolio risk increases. Some models also exhibit shorter efficient frontiers, indicating a narrower range of achievable risk-return combinations under the portfolio weights considered. Similar to findings in relevant studies, the linear models generally exhibit weaker risk-return

performance than the non-linear models. This difference may partly reflect the limited predictive variation captured by Ridge and Lasso, whose regularized coefficients are close to zero and their predictions are driven by the intercept (i.e., bias term). In contrast, the stronger performance of XGBoost and the Neural Network suggests that these models may capture nonlinear relationships in the features that are not adequately represented by the linear models. However, the efficient frontier alone does not establish whether this advantage arises specifically from nonlinear feature interactions or from other differences in model fitting and predictive performance.

Previous studies commonly associate the predictability and profitability of delta-hedged option rate of returns with volatility risk premium, which is often approximated by the difference between the market's expected volatility (implied volatility) and the actual volatility.

	1st Quantile	Median	Mean	3rd Quantile	Kurtosis	Skew
Return	-0.738%	-0.116%	-0.045%	0.4895%	21.687	2.523
Implied Volatility	0.32707	0.50267	0.49750	0.57096	109.0016	6.722899
Market Volatility	0.2155	0.2566	0.3406	0.3676	0.5307571	1.357562
Delta	-0.10179	0.06342	0.18866	0.63038	-0.6931139	-0.08344831
Gamma	0.00189	0.00424	0.00763	0.00861	9644.31	71.0384

Table 6: Out of Sample Data Summary (Oct 1, 2024 to Nov 1, 2024)

As shown in Table 6, implied volatility is, on average, higher than realized volatility, measured using the average of the mean realized volatility across individual stocks. This suggests that options may incorporate a premium associated with bearing volatility risk. Such a premium may represent an important source of variation in delta-hedged option returns and may provide opportunities for strategies that exploit differences between implied and subsequently realized volatility. In addition, the return distribution exhibits a slightly negative monthly mean, positive skewness, and excess kurtosis. These characteristics suggest that returns are negatively centered on average but may still exhibit occasional large positive outcomes and heavy tails. Consequently, average returns and Sharpe ratios may vary substantially across models, depending on their ability to capture predictable return variation and manage downside risk.

Implied volatility is also an important input in option pricing models and the calculation of option Greeks, including Delta and Gamma. For example, in the Black–Scholes framework, the delta of a European call option is given by $N(d_1)$, where d_1 depends on the underlying asset price, strike price, time to maturity, interest rate, and volatility. Delta therefore depends on the volatility input used in the model. If the volatility input differs from the volatility relevant to the option's future price dynamics, the resulting delta may deviate from the hedge ratio required to manage the option's actual price sensitivity. However, a difference between implied and realized volatility does not necessarily imply that the estimated delta is biased, since implied volatility and realized volatility represent different quantities.

Such discrepancies may contribute to hedging errors in delta-hedged portfolios and, in turn, affect realized portfolio returns. To investigate this possibility, we examine out-of-sample hedging errors to assess whether they exhibit systematic patterns that may indicate model misspecification or persistent hedging bias. Since presenting the hedging-error plots for every contract would be impractical, we

select a representative out-of-sample contract with a clear pattern for illustrative purposes. The resulting diagnostic provides an example of potential hedging errors, although conclusions about systematic bias should be supported by evidence across a broader set of contracts.

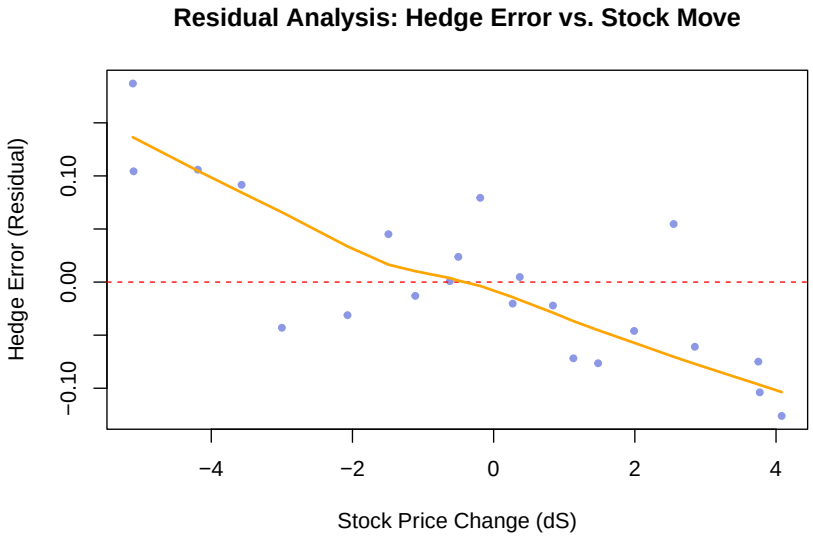


Figure 10: Residual Analysis on Contract `AAPL250620C00330000`

Figure 10 shows a strong negative linear relationship between hedge errors and changes in the underlying stock price. To assess whether this relationship is statistically significant, we fit a simple linear regression model using hedge error as the response variable and stock price change as the predictor. The estimated slope coefficient is statistically significant, providing evidence of a systematic relationship between hedge errors and stock price movements.

	Estimate	Std. Error	t Value	$\Pr(>\|t\|)$
`(Intercept)`	-0.003521	0.010642	-0.331	0.744
`dS`	-0.021991	0.003854	-5.706	1.39e-05 ***

Table 7: Output of Simple Linear Regression for Residual Analysis

Subject to the definition of hedge error and the direction of the hedging position, this relationship may indicate that the estimated deltas do not fully eliminate directional exposure and may result in systematic over-hedging. Consequently, the returns of our delta-hedged portfolios may retain some sensitivity to movements in the underlying stock. If the residual exposure is consistent with the observed negative relationship, it could help explain why the models generate profits during downward stock price movements. This interpretation is also relevant to **Section 6.1**, where we find that the nonlinear models assign greater importance to stock-based features than to option-based features. One possible explanation is that these models exploit predictive signals associated with residual stock-price exposure rather than primarily capturing the volatility risk premium embedded in option prices. If stock-based signals are stronger than the volatility-related signals in our sample, the models may prioritize the former, potentially limiting their ability to isolate returns associated with volatility risk premiums. This mechanism may also contribute to the positive returns observed across the short-only portfolios and the

weaker performance of the long-only portfolios discussed in **Sections 6.2.2** and **6.2.3**. However, further analysis is needed to establish whether systematic hedging errors are the primary driver of these portfolio outcomes.

These findings also highlight an important limitation when interpreting the relative performance of the models. The apparent advantage of nonlinear models may partly reflect the market conditions and residual hedging exposure present in our sample, rather than a consistently superior ability to capture option-related return predictability. Their performance may therefore differ under alternative market conditions, particularly when stock prices rise or remain relatively stable. In such circumstances, the advantage of nonlinear models may diminish, potentially allowing linear models such as Lasso and Ridge to perform competitively or outperform them. Testing the models across different market regimes and evaluating their performance after accounting for residual directional exposure would help determine the extent to which the observed results generalize beyond our sample.

8 Conclusion

In conclusion, our experimental results suggest that nonlinear machine learning models generally outperform linear models in capturing predictive signals in delta-hedged option returns. Furthermore, our hedge-error analysis suggests that systematic delta-hedging errors may influence the signals learned by these models, potentially leading them to place greater importance on stock-based features than on option-based features. However, several limitations should be acknowledged. First, we were unable to obtain detailed information about the option pricing model used to calculate the Greeks and implied volatility, limiting our ability to investigate the underlying causes of the observed hedging errors. Second, data availability constrained the range of predictor variables we could include for both options and their underlying stocks. Consequently, our models may not capture all the relevant information considered in the studies reviewed in GPR 1, potentially limiting their predictive performance.

Future research should investigate the generalizability of these findings across different market conditions and evaluate whether nonlinear models consistently outperform linear models when residual directional exposure is present. In particular, examining model performance after accounting for or correcting systematic hedging errors could help determine whether the observed advantage of nonlinear models reflects their ability to capture complex predictive relationships or their exploitation of residual stock-price exposure. Expanding the set of predictor variables and evaluating the models across different market regimes would further clarify the robustness of their predictive performance.

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